

The principal considerations for our determination that performing procedures relating to the allowance for credit losses for single-family mortgage loans held-for-investment is a critical audit matter are (i) the significant judgment by management when developing the allowance for credit losses for single-family mortgage loans held-for-investment; (ii) a high degree of auditor judgment, subjectivity, and effort in performing procedures and evaluating management's significant assumption related to the probability of default; and (iii) the audit effort involved the use of professionals with specialized skill and knowledge.

Addressing the matter involved performing procedures and evaluating audit evidence in connection with forming our overall opinion on the consolidated financial statements. These procedures included testing the effectiveness of controls relating to the development of the allowance for credit losses for single-family mortgage loans held-for-investment, including controls over the probability of default assumption. These procedures also included, among others (i) testing management's process for developing the allowance for credit losses for single-family mortgage loans held-for-investment, (ii) testing the completeness and accuracy of certain data used in the models, and (iii) the involvement of professionals with specialized skill and knowledge to assist in evaluating (a) the appropriateness of management's methodology and models, and (b) the reasonableness of the probability of default assumption.

/s/ PricewaterhouseCoopers LLP

Washington, District of Columbia

February 13, 2025

We have served as the Company's auditor since 2002.

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Financial Statements

Consolidated Statements of Income and Comprehensive Income

FREDDIE MAC

Consolidated Statements of Income and Comprehensive Income

(In millions, except share-related amounts)	Year Ended December 31,		
	2024	2023	2022
Net interest income			
Interest income	\$117,877	\$105,363	\$83,458
Interest expense	(98,140)	(86,821)	(65,453)
Net interest income	19,737	18,542	18,005
Non-interest income			
Guarantee income	1,611	1,615	783
Investment gains, net	2,076	707	1,969
Other income	488	365	507
Non-interest income	4,175	2,687	3,259
Net revenues	23,912	21,229	21,264
(Provision) benefit for credit losses	(476)	872	(1,841)
Non-interest expense			
Salaries and employee benefits	(1,677)	(1,606)	(1,509)
Professional services, technology, and occupancy	(1,166)	(1,189)	(1,079)
Credit enhancement expense	(2,345)	(2,339)	(2,118)
Benefit for (decrease in) credit enhancement recoveries	(36)	(189)	236
Legislative and regulatory assessments	(3,233)	(3,131)	(3,131)
Other expense	(201)	(448)	(218)
Non-interest expense	(8,658)	(8,902)	(7,819)
Income before income tax expense	14,778	13,199	11,604
Income tax expense	(2,920)	(2,661)	(2,277)
Net income	11,858	10,538	9,327
Other comprehensive income (loss), net of taxes and reclassification adjustments	(5)	166	(342)
Comprehensive income	\$11,853	\$10,704	\$8,985
Net income	\$11,858	\$10,538	\$9,327
Amounts attributable to senior preferred stock	(11,853)	(10,704)	(8,985)
Net income (loss) attributable to common stockholders	\$5	(\$166)	\$342
Net income (loss) per common share	\$0.00	(\$0.05)	\$0.11
Weighted average common shares (in millions)	3,234	3,234	3,234

The accompanying notes are an integral part of these consolidated financial statements.

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Financial Statements

Consolidated Balance Sheets

FREDDIE MAC

Consolidated Balance Sheets

(In millions, except share-related amounts)	December 31,	
	2024	2023
Assets		
Cash and cash equivalents (includes \$1,165 and \$978 of restricted cash and cash equivalents)	\$5,534	\$6,019
Securities purchased under agreements to resell	100,118	95,148
Investment securities, at fair value	55,771	43,275
Mortgage loans held-for-sale (includes \$11,394 and \$7,356 at fair value)	15,560	12,941
Mortgage loans held-for-investment (net of allowance for credit losses of \$6,774 and \$6,383 and includes \$2,413 and \$1,806 at fair value)	3,172,329	3,083,665
Accrued interest receivable	11,029	9,925
Deferred tax assets, net	5,018	4,076
Other assets (includes \$5,870 and \$6,095 at fair value)	21,333	25,927
Total assets	\$3,386,692	\$3,280,976
Liabilities and equity		
Liabilities		
Accrued interest payable	\$9,822	\$8,812
Debt (includes \$2,339 and \$2,476 at fair value)	3,304,949	3,208,346

Other liabilities (includes \$978 and \$873 at fair value)	12,346	16,096
Total liabilities	3,327,117	3,233,254
Commitments and contingencies		
Equity		
Senior preferred stock (liquidation preference of \$129,038 and \$117,309)	72,648	72,648
Preferred stock, at redemption value	14,109	14,109
Common stock, \$0.00 par value, 4,000,000,000 shares authorized, 725,863,886 shares issued and 650,059,553 shares outstanding	—	—
Retained earnings	(23,270)	(35,128)
<i>AOCI, net of taxes, related to:</i>		
Available-for-sale securities	66	72
Other	(93)	(94)
AOCI, net of taxes	(27)	(22)
Treasury stock, at cost, 75,804,333 shares	(3,885)	(3,885)
Total equity	59,575	47,722
Total liabilities and equity	\$3,386,692	\$3,280,976

The table below presents the carrying value and classification of the assets and liabilities related to consolidated VIEs on our consolidated balance sheets.

(In millions)	December 31,	
	2024	2023
Assets:		
Cash and cash equivalents (includes \$1,055 and \$890 of restricted cash and cash equivalents)	\$1,056	\$891
Securities purchased under agreements to resell	12,764	9,396
Investment securities, at fair value	1	65
Mortgage loans held-for-investment	3,114,937	3,039,461
Accrued interest receivable	9,900	8,885
Other assets	5,881	4,858
Total assets of consolidated VIEs	\$3,144,539	\$3,063,556
Liabilities:		
Accrued interest payable	\$8,469	\$7,527
Debt	3,122,941	3,041,927
Total liabilities of consolidated VIEs	\$3,131,410	\$3,049,454

The accompanying notes are an integral part of these consolidated financial statements.

FREDDIE MAC

Consolidated Statements of Equity

(In millions)	Shares Outstanding			Senior Preferred Stock	Preferred Stock, at Redemption Value	Common Stock, at Par Value	Retained Earnings	AOCI, Net of Tax	Treasury Stock, at Cost	Total Equity
	Senior Preferred Stock	Preferred Stock	Common Stock							
Balance at December 31, 2021	1	464	650	\$72,648	\$14,109	\$—	(\$54,993)	\$154	(\$3,885)	\$28,033
<i>Comprehensive income:</i>										
Net income	—	—	—	—	—	—	9,327	—	—	9,327
<i>Other comprehensive income (loss):</i>										
Changes in net unrealized gains (losses) on available-for-sale securities (net of taxes of \$96 million)	—	—	—	—	—	—	—	(362)	—	(362)
Reclassification adjustment for (gains) losses on available-for-sale securities included in net income (net of taxes of \$5 million)	—	—	—	—	—	—	—	(19)	—	(19)
Other (net of taxes of \$10 million)	—	—	—	—	—	—	—	39	—	39
Comprehensive income	—	—	—	—	—	—	9,327	(342)	—	8,985
Ending balance at December 31, 2022	1	464	650	\$72,648	\$14,109	\$—	(\$45,666)	(\$188)	(\$3,885)	\$37,018
<i>Comprehensive income:</i>										
Net income	—	—	—	—	—	—	10,538	—	—	10,538
<i>Other comprehensive income (loss):</i>										
Changes in net unrealized gains (losses) on available-for-sale securities (net of taxes of \$5 million)	—	—	—	—	—	—	—	18	—	18
Reclassification adjustment for (gains) losses on available-for-sale securities included in net income (net of taxes of \$36 million)	—	—	—	—	—	—	—	138	—	138
Other (net of taxes of \$2 million)	—	—	—	—	—	—	—	10	—	10
Comprehensive income	—	—	—	—	—	—	10,538	166	—	10,704
Ending balance at December 31, 2023	1	464	650	\$72,648	\$14,109	\$—	(\$35,128)	(\$22)	(\$3,885)	\$47,722
<i>Comprehensive income:</i>										
Net income	—	—	—	—	—	—	11,858	—	—	11,858
<i>Other comprehensive income (loss):</i>										
Changes in net unrealized gains (losses) on available-for-sale securities (net of taxes of \$1 million)	—	—	—	—	—	—	—	(4)	—	(4)
Reclassification adjustment for (gains) losses on available-for-sale securities included in net income (net of taxes of \$1 million)	—	—	—	—	—	—	—	(2)	—	(2)
Other (net of taxes of \$0 million)	—	—	—	—	—	—	—	1	—	1
Comprehensive income	—	—	—	—	—	—	11,858	(5)	—	11,853
Ending balance at December 31, 2024	1	464	650	\$72,648	\$14,109	\$—	(\$23,270)	(\$27)	(\$3,885)	\$59,575

The accompanying notes are an integral part of these consolidated financial statements.

FREDDIE MAC

Consolidated Statements of Cash Flows

(In millions)	Year Ended December 31,		
	2024	2023	2022
Cash flows from operating activities			
Net income	\$11,858	\$10,538	\$9,327
Adjustments to reconcile net income to net cash provided by (used in) operating activities:			
Amortization of cost basis adjustments	726	827	(1,264)
Provision (benefit) for credit losses	476	(872)	1,841
Investment gains, net	(2,433)	(1,853)	(2,763)
Deferred income tax expense and changes in income taxes receivable/payable	255	1,762	(223)
Mortgage loans acquired as held-for-sale:			
Purchases	(31,496)	(29,339)	(45,093)
Proceeds from sales and repayments	27,661	27,347	49,389
Net change in:			
Accrued interest receivable	(1,103)	(1,389)	(1,038)
Accrued interest payable	1,020	1,507	1,041
Other, net	(337)	(913)	708
Net cash provided by (used in) operating activities	6,627	7,615	11,925
Cash flows from investing activities			
Investment securities:			
Purchases	(94,394)	(101,238)	(132,913)
Proceeds from sales	68,572	78,799	122,442
Proceeds from maturities and repayments	10,811	14,247	13,821
Mortgage loans acquired held-for-investment:			
Purchases	(146,854)	(101,262)	(160,884)
Proceeds from sales	3,009	7,581	3,438
Proceeds from repayments	278,965	245,037	352,204
Advances under secured lending arrangements	(113,097)	(96,666)	(170,456)
Net (increase) decrease in securities purchased under agreements to resell	(2,945)	(6,107)	(20,750)
Cash flows related to derivatives	5,728	4,326	4,769
Other, net	(171)	(464)	(273)
Net cash provided by (used in) investing activities	9,624	44,253	11,398
Cash flows from financing activities			
Debt of consolidated trusts:			
Proceeds from issuance	253,894	205,523	359,806
Repayments and redemptions	(282,087)	(251,762)	(388,033)
Debt of Freddie Mac:			
Proceeds from issuance	207,529	146,506	137,339
Repayments	(194,038)	(150,585)	(140,970)
Net increase (decrease) in securities sold under agreements to repurchase	(2,025)	(1,746)	4,658
Other, net	(9)	(145)	87
Net cash provided by (used in) financing activities	(16,736)	(52,209)	(27,113)
Net increase (decrease) in cash and cash equivalents (includes restricted cash and cash equivalents)	(485)	(341)	(3,790)
Cash and cash equivalents (includes restricted cash and cash equivalents) at the beginning of year	6,019	6,360	10,150
Cash and cash equivalents (includes restricted cash and cash equivalents) at end of period	\$5,534	\$6,019	\$6,360
Supplemental cash flow information			
Cash paid for:			
Debt interest	\$100,136	\$87,610	\$75,441
Income taxes	2,750	900	2,500
Non-cash investing and financing activities (Notes 4 and 7)			

The accompanying notes are an integral part of these consolidated financial statements.

Notes to Consolidated Financial Statements

NOTE 1

Summary of Significant Accounting Policies

Freddie Mac is a GSE chartered by Congress in 1970, with a mission to provide liquidity, stability, and affordability to the U.S. housing market. We are regulated by FHFA, the SEC, HUD, and Treasury, and are currently operating under the conservatorship of FHFA. For additional information on the roles of FHFA and Treasury, see **Note 2**. Throughout our consolidated financial statements and related notes, we use certain acronyms and terms which are defined in the **Glossary**.

Basis of Presentation

The accompanying consolidated financial statements have been prepared in accordance with GAAP and include our accounts as well as the accounts of other entities in which we have a controlling financial interest. All intercompany balances and transactions have been eliminated.

We are operating under the basis that we will realize assets and satisfy liabilities in the normal course of business as a going concern and in accordance with the authority provided by FHFA to our Board of Directors to oversee management’s conduct of our business operations.

Use of Estimates

The preparation of our consolidated financial statements requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities, revenues and expenses, and disclosure of contingent assets and liabilities. Management has made significant estimates to report the allowance for credit losses on single-family mortgage loans. Actual results could be different from these estimates.

Significant Accounting Policies

Cash and Cash Equivalents